TN TDOT Department of Transportation **Utilities Division**	**Invoice Processing Standard Operating Procedure** **Payment, Tracking and Uploading of Utility Relocation Invoices**	**Adopted:** 02/23/2024 **Amended:**

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1. Purpose

The purpose of this standard operating procedure (SOP) is to address workflow related to establishing a working relationship with the contracted Utilities (Management and Accounts Receivable), payment and tracking of Utility Invoices, and proper uploading to IRIS. These procedures are intended to be guidelines for the effective processing, tracking, and uploading of all Utility Relocation Invoices through TDOT Finance and IRIS. The responsibility to observe these guidelines is that of both the employee and the department director or manager who approves such Invoices.

2. Scope

This standard operating procedure applies to all employees of TDOT currently in the role of processing Utility Relocation Invoices. This material is not all-inclusive, and if you cannot find procedures that relate to your situation or if you need interpretative assistance, please contact your Regional Utilities Manager and/or TDOT Finance.

3. Responsibilities

- **Utilities Invoice Processing Personnel:**
  - Attend Reimbursement meeting with Regional Utility Manager/Team Lead.
  - Send to the Utility Representative and their Accounting Representative a Reimbursement Packet (US mail or Email) before the Reimbursement meeting.

    Reimbursement Packet to include (at a minimum) the following:
    - Copy of Utility Relocation Contract section regarding Reimbursement.
    - Outline of TDOT Utility Reimbursement process.
    - Copy of current Finance Utility Invoice Requirements checklist.

- Copy of the current Overhead Rate Spreadsheet for Consultants.
- Copy of the Standard and Expanded Utilities Invoice Spreadsheets.
- Examples of Acceptable and Unacceptable forms of invoice submissions.
- Copy of Notice for Periodic Submission of Reimbursement Invoice Letter.
- Copy of Final Invoice Notice Letter.

During the Reimbursement Meeting:

- Obtain all necessary contact information for the Utility's Accounts Receivable department.
- Give a presentation outlining all items included in the reimbursement packet. A PowerPoint is recommended.

Once the Utility begins to submit invoices for reimbursement:

- Enter the initial submitted invoice information to IRIS.
- Review all submitted invoices for completeness and adherence to the current finance Utilities Relocation Invoice Requirements checklist.
- Notify TDOT Finance to fund the purchase order.
- Fully maintain all sections of invoice information in IRIS and upload paid invoice attachments.
- Send active Utilities a Notice to Submit Interim Billing letter by **May 1st** of the current TDOT Fiscal year.

- **Regional Utilities Manager / Team Lead:**
  - After execution of the Utility Contract, schedule a Reimbursement meeting (remote or in person) with the Utility Representatives and their Accounting Representatives.
  - Enter complete Utility Coordination information into IRIS.
  - Approve invoice for processing in Edison.
  - Oversee all Utility Invoice Processing and conduct monthly status meetings with the current Utility Processor(s).

4. Fiscal Administration Guidelines

Utility Invoice processors are responsible for accurate and timely processing payments of all invoices for the contracted Utility. Inquiries from Utilities regarding the status of unpaid invoices are handled by Utility Invoice Processors. All inquiries should be easily answered if the maintenance of a Utility Invoice Tracking Spreadsheet is up to date.

5. Procedures for Invoice Processing

For complete instructions on the payment process, refer to the latest applicable manual for receipts and vouchers: "*Creating BU 41100 Receipts & Vouchers Associated with BU 41100 Purchase Orders to Pay Utility Companies for Expenses Related to Relocating Utilities related to purchase orders for paying utility invoices.*"

6. Adherence to the Executed Utility Relocation Contract

Utility Managers / Team Leads are responsible for monitoring the Utility's adherence to the executed contract as it applies to the section(s) on reimbursement. To

avoid an audit. No reimbursement to Utilities should be made if the Utility is in breach of the agreed-upon terms of the contract. Sections to monitor include but are not limited to:

- Adherence to Schedule of Calendar Days.
- Submissions of interim invoices from the Utility within the TDOT Fiscal Year (per the updated contract language) during the duration of the project.
- Submission of Final invoice from the Utility within one year of receiving an accepted Certification of Contract Obligation.
- Utility's Retention of supporting documentation for 3 years after the date of final reimbursement.
- Payment requests from the Utility for items that don't meet Buy America or Betterment policies.

7. Pitfalls to Avoid

- Entering **incomplete** information into IRIS.
- Failing to update invoice information in IRIS.
- Not using or maintaining a project tracking spreadsheet.
- Not making timely corrections to denied invoices.
- Failing to save and file communications with Utilities.
- Non-response to Utility inquiries.
- Choosing the incorrect Utility address in Edison.
- Choosing incorrect service dates in Edison.
- Choosing the wrong business unit for the receipt and voucher for the type of invoice being processed.
- Not removing PII (personal identifying information) from the invoice and supporting documents.
- Not making the Utility Manager / Team Lead aware of any invoice processing issues.

8. Flow Chart Attached

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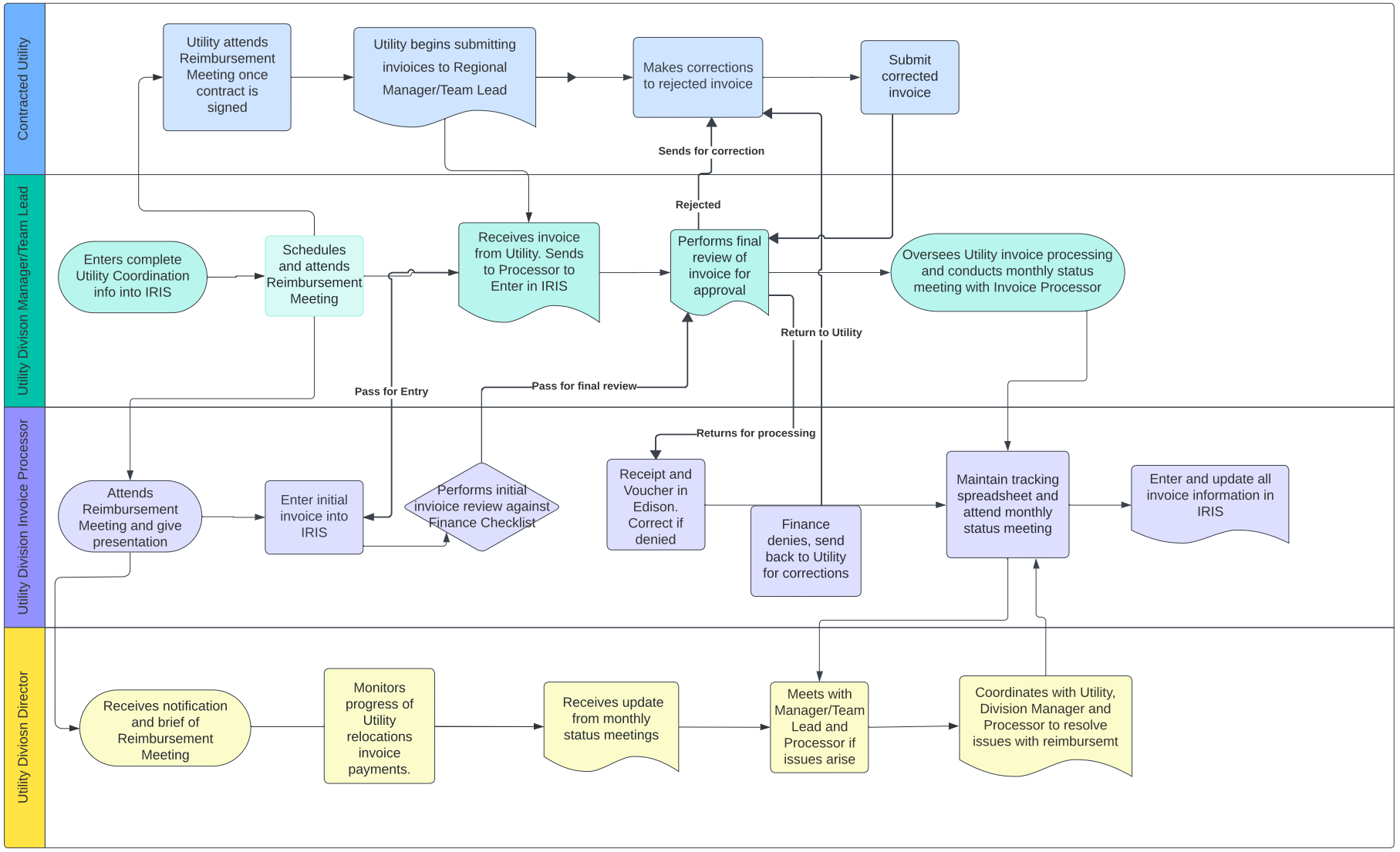
Process flow shapes

- Contracted Utility
- Utility Invoice Processor
- Utility Divison Management / Team Lead
- Utility Divison Director